Aldgate Property Group
Strictly private and confidential

41 Kent Street, Ultimo Construction Facility

Information memorandum for an A$84.0 million senior secured construction facility

Prepared for Quillwood Credit Partners
Version 1.0, 9 February 2026
Strictly private and confidential
Reference: APG-IM-2026-01
Date: 9 February 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Important notice

This information memorandum has been prepared by the Moretti family, through Moretti Family Holdings Pty Ltd, the founders and controlling shareholders of Aldgate Property Group Pty Ltd. It is provided to Quillwood Credit Partners to assist in its assessment of a proposed senior secured construction facility. It is not an offer of securities, and it does not constitute credit, legal, tax or valuation advice.

Figures for the group are unaudited management figures unless stated. Independent third party reports have been commissioned and are not yet available at the date of this document. They are the valuation (Brennan Whitlock Valuation Pty Ltd), the quantity surveyor's report (Cardew Hollis Quantity Surveyors Pty Ltd) and the audited financial statements (Pemberton Gray Audit). Where this document refers to values, costs or financial results, the lender should rely on those reports once issued and not on this document. Forward-looking statements, including rents, capitalisation rate and program, are management assumptions and are not guarantees. Aldgate Property Group has no relationship with Aldgate Logistics, despite the similar name.

1. Transaction details

Borrower	Aldgate Property Group Pty Ltd
ABN	81 781 967 121
Registered address	Level 4, 88 Quay Street, Haymarket NSW 2000
Sponsor	Moretti family, through Moretti Family Holdings Pty Ltd
Security property	41 Kent Street, Ultimo NSW (freehold, about 1,850 sqm)
Facility requested	Senior secured construction facility, A$84.0 million, 42 months
Prepared by	Moretti Family Holdings Pty Ltd, with Tallis Corporate Advisory Pty Ltd
Prepared for	Quillwood Credit Partners
Date and version	9 February 2026, Version 1.0

Table 1: Transaction details

2. Executive summary

Aldgate Property Group Pty Ltd (Aldgate or the Borrower) is a Sydney-based, family-controlled developer and manager of mid-sized office buildings on the CBD fringe, with a focus on Ultimo, Pyrmont, Surry Hills and Haymarket. The group develops, holds and manages assets. It earns development management fees and rental income from a small completed portfolio, which was 94% occupied at the date of this document.

Aldgate seeks an A$84.0 million senior secured construction facility to part-fund the development of a 9-level A-grade office building at 41 Kent Street, Ultimo. The building has development approval for 16,000 sqm of gross floor area (GFA) and 13,600 sqm of net lettable area (NLA), with 42 basement car spaces and end-of-trip facilities. It is designed for a target 5 Star Green Star Buildings rating and a NABERS Energy 5 Star commitment.

- Total development cost (TDC) is A$160.0 million. The facility funds 52.5% of cost. The sponsor provides A$76.0 million of equity (47.5% of cost), made up of the site at an A$52.0 million value and A$24.0 million of cash to be injected before first drawdown.
- The expected gross realisation value (GRV) is A$184.0 million, based on a 6.50% capitalisation rate and an assumed net face rent of A$880 per sqm. This gives a loan to value ratio (LVR) of

45.7% on GRV and a profit on cost of 15.0%.

- The building is 38% pre-leased by NLA, or about 5,168 sqm, across two tenants. Heads of agreement have been converted to executed agreements for lease.
- Construction will be delivered by Calloway Construction Pty Ltd under a guaranteed maximum price (GMP) contract of A$84.0 million.
- Repayment is from practical completion, leasing and either refinance or sale. The tenor of 42 months comprises about 30 months of construction and 12 months for completion, leasing and exit.

The principal risks are leasing of the remaining 62% of NLA, sensitivity of value to the capitalisation rate, construction delay, floating interest rate exposure and the concentration of sponsor support in a single family group. These are set out with proposed mitigants in section 10.

3. The facility request

The purpose of the facility is to part-fund hard and soft costs for construction of the building, including finance costs and leasing incentives. Repayment is from practical completion, leasing and refinance or sale. The proposed terms are indicative and are subject to credit approval and satisfaction of conditions precedent.

Facility type	Senior secured construction facility
Facility limit	A$84.0 million
Tenor	42 months (about 30 months construction, 12 months completion, leasing and exit)
Interest margin	3-month BBSW plus 5.25% p.a.
Establishment fee	1.50% of the facility limit (A$1.26 million)
Line fee	1.00% p.a. on the undrawn commitment
Security	First registered mortgage over 41 Kent Street, Ultimo, and general security over the Borrower's project assets
Lender	Quillwood Credit Partners

Table 2: Indicative facility terms

Interest is floating. The sponsor has not settled a hedging strategy and proposes to agree a hedging requirement with the lender as part of the term sheet, for example a minimum proportion of expected drawn debt hedged through construction.

4. Sponsor and Borrower

4.1 Background

Aldgate was established in Sydney in March 2004 by Franco Moretti and his sons to develop small commercial buildings in inner Sydney. It remains family controlled through Moretti Family Holdings Pty Ltd. The group operates from Level 4, 88 Quay Street, Haymarket, and concentrates on mid-sized office buildings in the Ultimo, Pyrmont, Surry Hills and Haymarket fringe.

4.2 Board and management

- Marco Moretti, Founder and Managing Director. Leads acquisitions, design and tenant relationships.
- Elena Moretti-Hayes, Executive Director, Finance and Development. Responsible for project finance, cost control and reporting to funders.

- Graham Tsang, Independent Non-Executive Director and Chair. Provides independent oversight of the board, including related party and funding decisions.

4.3 Track record

Date	Milestone
March 2004	Aldgate established in Sydney to develop small commercial buildings
November 2011	Completed 6-level office building, Wattle Street, Ultimo (A$48M end value), retained as a core holding
August 2019	Completed refurbishment and re-leasing of a 7,200 sqm office asset in Surry Hills, then sold a 49% interest by joint venture
June 2023	Acquired 41 Kent Street, Ultimo for A$49.5M, funded by existing group facilities and sponsor equity
March 2025	City of Sydney granted development approval for a 9-level office building
November 2025	Executed agreements for lease over 38% of NLA

Table 3: Group milestones

The 41 Kent Street project is larger than any building the group has delivered to date. The Wattle Street building (6 levels) and the Surry Hills refurbishment (7,200 sqm) are the closest comparators. The lender should weigh the scale step-up in its assessment. Aldgate's response is the fixed-price GMP contract, the independent Chair, and the quantity surveyor monitoring described in section 8.

4.4 Group financial position

The figures below are unaudited management figures for the last twelve months (LTM). Audited financial statements prepared by Pemberton Gray Audit are expected on 20 March 2026, and management accounts to 31 March 2026 on 15 April 2026.

LTM group revenue	A$31.4 million
LTM group EBITDA	A$9.8 million
Group net debt	A$38.5 million
Net debt to EBITDA	3.9x
Completed portfolio occupancy	94%

Table 4: Group financial summary (unaudited, LTM)

Group net debt of A$38.5 million sits alongside this project's funding needs. The site was acquired in June 2023 with existing group facilities and sponsor equity. The sponsor proposes that any existing group debt secured against 41 Kent Street be repaid and released before first drawdown, so that the lender holds a first mortgage and the site can be counted as A$52.0 million of unencumbered equity. This is proposed as a condition precedent in section 11.

5. The security property and development

5.1 The site

41 Kent Street, Ultimo is a freehold site of about 1,850 sqm on the CBD fringe. It was acquired for A$49.5 million in June 2023. It is carried in the funding plan at an A$52.0 million land value, which reflects the development approval granted in March 2025. The independent valuer, Brennan Whitlock Valuation Pty Ltd, will confirm land value and as-if-complete value in a report expected on 6 March 2026.

5.2 The building

Metric	Value
Levels	9
Site area	1,850 sqm
GFA	16,000 sqm
NLA	13,600 sqm
NLA to GFA efficiency	85%
Basement car spaces	42
Sustainability	Target 5 Star Green Star Buildings; NABERS Energy 5 Star commitment
Pre-leased area	5,168 sqm (38% of NLA)
Uncommitted area	8,432 sqm (62% of NLA)

Table 5: Development summary

The building is planned as A-grade office accommodation with floorplates suited to mid-sized tenants, and includes end-of-trip facilities. The sustainability targets are intended to support rental performance and exit liquidity, because many institutional buyers and larger tenants screen on energy and green ratings. The ratings are targets and commitments and have not yet been achieved.

5.3 Leasing

Executed agreements for lease cover about 5,168 sqm, or 38% of NLA, across two tenants. The agreements were converted from heads of agreement in November 2025. Copies, together with rent, incentive, term and commencement details, will be made available in the data room. Leasing of the remaining 8,432 sqm will be led by the group, with an external leasing agent to be appointed before construction commences.

The assumed net face rent of A$880 per sqm applies across the 13,600 sqm NLA. At that rent, stabilised net income is about A$11.97 million a year. This is a 7.5% yield on cost of A$160.0 million, which is about 100 basis points above the 6.50% capitalisation rate. Incentives are funded within the project budget and form part of the A$24.0 million non-construction allowance.

The Ultimo, Pyrmont, Surry Hills and Haymarket submarkets compete for the same tenant base, and new supply in Pyrmont and Surry Hills is the main competitive factor. Market commentary and rental evidence will be provided by the independent valuer.

6. Construction

Calloway Construction Pty Ltd will build the project under a GMP contract of A$84.0 million, which is A$5,250 per sqm of GFA. The program is about 30 months to practical completion. Cardew Hollis Quantity Surveyors Pty Ltd has been engaged as the independent quantity surveyor and is expected to report on 13 March 2026 on the GMP, the cost-to-complete, the program and the contingency. It will also certify progress claims throughout construction.

The GMP transfers cost overrun risk to the builder for the defined scope. It does not remove the risk of contractor insolvency, latent site conditions or industrial delay. The sponsor proposes the following protections, subject to the lender's requirements:

- performance security from the builder in a form and amount acceptable to the lender, and a collateral warranty or deed of novation in favour of the lender
- a monthly progress claim process certified by the independent quantity surveyor before each drawdown
- a cost-to-complete test, so that the facility is always in balance, with any shortfall funded by the sponsor before further drawdown
- delay damages under the building contract and a long-stop date for practical completion aligned to the facility tenor

7. Development feasibility and funding

7.1 Sources and uses

Uses	A$M	% of TDC
Land (at value)	52.0	32.5%
Construction (GMP)	84.0	52.5%
Finance costs, fees, leasing incentives and other	24.0	15.0%
Total development cost	**160.0**	**100.0%**

Table 6: Development costs

Sources	A$M	% of TDC
Equity: land contribution	52.0	32.5%
Equity: cash before first drawdown	24.0	15.0%
Senior construction facility	84.0	52.5%
Total funding	**160.0**	**100.0%**

Table 7: Funding sources

Total equity of A$76.0 million is 47.5% of TDC. Of this, A$24.0 million is cash that remains to be injected and will be contributed before first drawdown. The facility therefore funds the balance of cost, and the lender is not asked to fund land. The A$24.0 million non-construction allowance covers finance costs including the establishment and line fees, leasing incentives and commissions, professional fees, statutory charges and contingency. A line-by-line allocation will be reviewed by the quantity surveyor. Any cost increase above the budget requires further sponsor funding.

7.2 Returns and gearing

Measure	Value
Gross realisation value	A$184.0M
Total development cost	A$160.0M
Development profit	A$24.0M
Profit on cost	15.0%
LVR on GRV (A$84.0M)	45.7%
Loan to cost (A$84.0M)	52.5%
Cost per sqm of GFA	A$10,000
Cost per sqm of NLA	A$11,765

Table 8: Feasibility summary

7.3 Valuation sensitivity

GRV is derived by capitalising stabilised net income of about A$11.97 million (13,600 sqm at A$880 per sqm) at 6.50%. The table and chart below show the effect of changes in the capitalisation rate with net income held constant. At 7.00%, a 50 basis point softening, value falls by about A$13 million to A$171.0 million, and profit on cost falls to 6.9%. The facility remains covered, with an LVR of 49.1%.

Cap rate	GRV (A$M)	Profit on cost	LVR on GRV
6.00%	199.5	24.7%	42.1%
6.25%	191.5	19.7%	43.9%
6.50%	184.0	15.0%	45.7%
6.75%	177.3	10.8%	47.4%
7.00%	171.0	6.9%	49.1%
7.25%	165.1	3.2%	50.9%

Table 9: Sensitivity of value, profit and LVR to the capitalisation rate

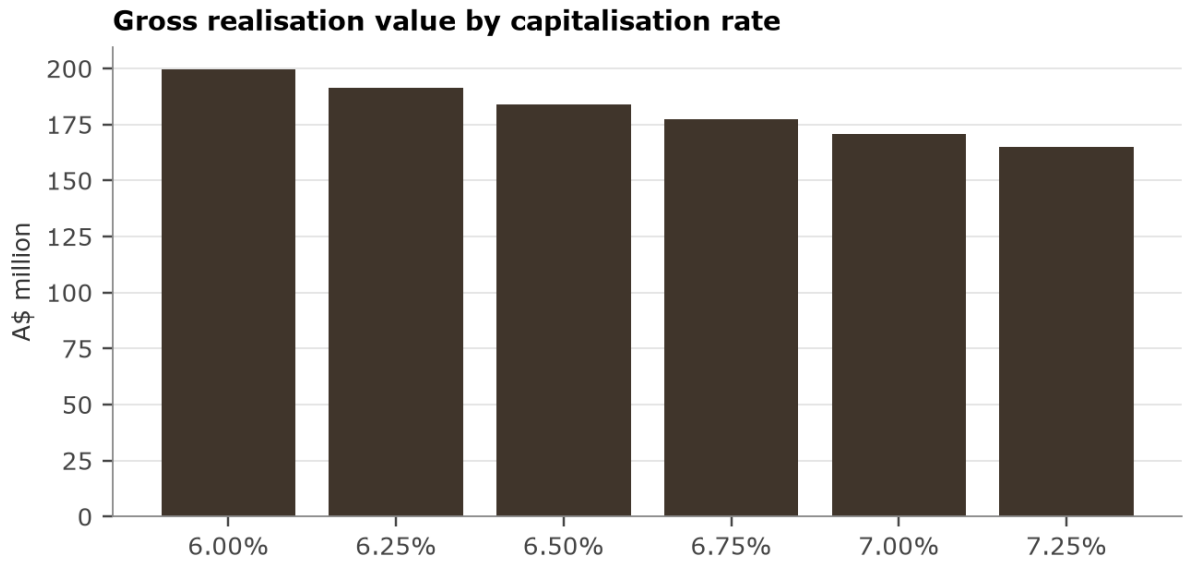


Figure 1: GRV at alternative capitalisation rates, net income of A$11.97M held constant. Total development cost is A$160.0M.

GRV would need to fall by about 54% to A$84.0 million before the facility limit was no longer covered by value, before costs of sale. The same sensitivity does not account for lower rents or higher incentives, which would reduce net income and value together. The valuer will test both.

8. Exit and repayment

The facility is to be repaid from practical completion through leasing, followed by refinance with a term lender or sale of the completed asset. The 12 month period after the construction term is intended to complete tenant fit-out, commence leases and lease the remaining space. The refinance case is supported by the 45.7% LVR on GRV and a stabilised yield on cost of about 7.5%. On the assumed net income, the A$84.0 million facility represents a debt yield of about 14.2%. The sponsor will provide a more detailed repayment analysis once the valuation is received. The group's completed portfolio, including the Wattle Street building held as a core asset, provides a secondary source of liquidity, although it is subject to existing group lenders.

9. Proposed covenants and undertakings

The sponsor proposes the following for discussion. The final package will be determined by the lender.

- Maximum LVR of 55% on independent as-if-complete value, tested at each drawdown and on any revaluation.
- Facility in balance at all times: undrawn commitment plus undrawn equity must cover the independent quantity surveyor's cost-to-complete.
- Pre-commitments to be maintained at not less than 38% of NLA, with no termination, variation or rent reduction of an agreement for lease without lender consent.
- Practical completion by a long-stop date set within the 42 month tenor.
- Equity of A$24.0 million cash to be injected before first drawdown, with additional sponsor funding for any cost overrun.
- Hedging of an agreed proportion of expected drawn debt, to be agreed in the term sheet.
- Quarterly reporting on cost, program, leasing and group net debt, and annual audited group accounts.
- Guarantees from Moretti Family Holdings Pty Ltd and other support to be negotiated in the term sheet.

10. Key risks and mitigants

Risk	Mitigant
Leasing: 62% of NLA uncommitted; rent of A$880 per sqm and incentives depend on fringe demand and Pyrmont and Surry Hills supply	38% pre-leased under executed agreements; rent and incentives tested by valuer; incentives funded in budget; external leasing agent
Exit and valuation: 50 bp softening cuts value by about A$13M and erodes the 15.0% profit on cost	LVR of 45.7% on GRV rising to 49.1% at 7.00%; LVR covenant; equity of 47.5% of cost sits behind the lender
Construction cost and delay: contractor insolvency, latent conditions, industrial delay	GMP contract of A$84.0M; builder security; QS certification; cost-to-complete test; delay damages
Interest rate: floating rate; finance costs form a large part of the A$24.0M allowance; hedging not confirmed	Hedging requirement to be agreed in term sheet; interest funded in budget; sponsor funds any shortfall
Sponsor concentration and key person: family control; group net debt of A$38.5M ranks alongside project needs	Independent Chair; release of existing debt over the site; reporting on group debt; guarantees to be negotiated
Equity: A$24.0M cash still to be injected; cost increases need further sponsor funding	Cash equity as a condition before first drawdown; evidence of funds; cost-to-complete test

Table 10: Key risks and proposed mitigants

11. Conditions precedent

The sponsor expects the term sheet to include conditions precedent customary for a facility of this type, including:

- satisfactory independent valuation from Brennan Whitlock Valuation Pty Ltd, quantity surveyor's report from Cardew Hollis Quantity Surveyors Pty Ltd, and audited financial statements from Pemberton Gray Audit
- evidence that the A$24.0 million of cash equity has been injected, and that the site is held free of other security, with release of any existing group debt against the property
- executed building contract with Calloway Construction Pty Ltd, builder security and insurances, including contract works and public liability cover
- executed agreements for lease with the two tenants, and tenant searches where required
- development approval and construction certificate, and confirmation that all conditions of consent that must be satisfied before construction have been met
- legal due diligence and opinions from Ashby Rennick Lawyers, as counsel to the Borrower, together with security documents and guarantees
- hedging arrangements as agreed, and know-your-customer and anti-money-laundering checks on the Borrower, the sponsor and the guarantors

12. Process and timetable

Date	Event
9 February 2026	Information memorandum issued to Quillwood Credit Partners
6 March 2026	Independent valuation expected from Brennan Whitlock Valuation Pty Ltd
13 March 2026	Quantity surveyor's report expected from Cardew Hollis Quantity Surveyors Pty Ltd
20 March 2026	Audited financial statements expected
15 April 2026	Management accounts provided
30 April 2026	Target date for indicative term sheet

Table 11: Indicative timetable

Questions and requests for further information should be directed to Elena Moretti-Hayes, Executive Director, Finance and Development, at Level 4, 88 Quay Street, Haymarket NSW 2000, or to Tallis Corporate Advisory Pty Ltd as adviser to the Borrower. A data room will be opened for the lender's review of the agreements for lease, development approval, building contract, group accounts and the independent reports as they are issued.